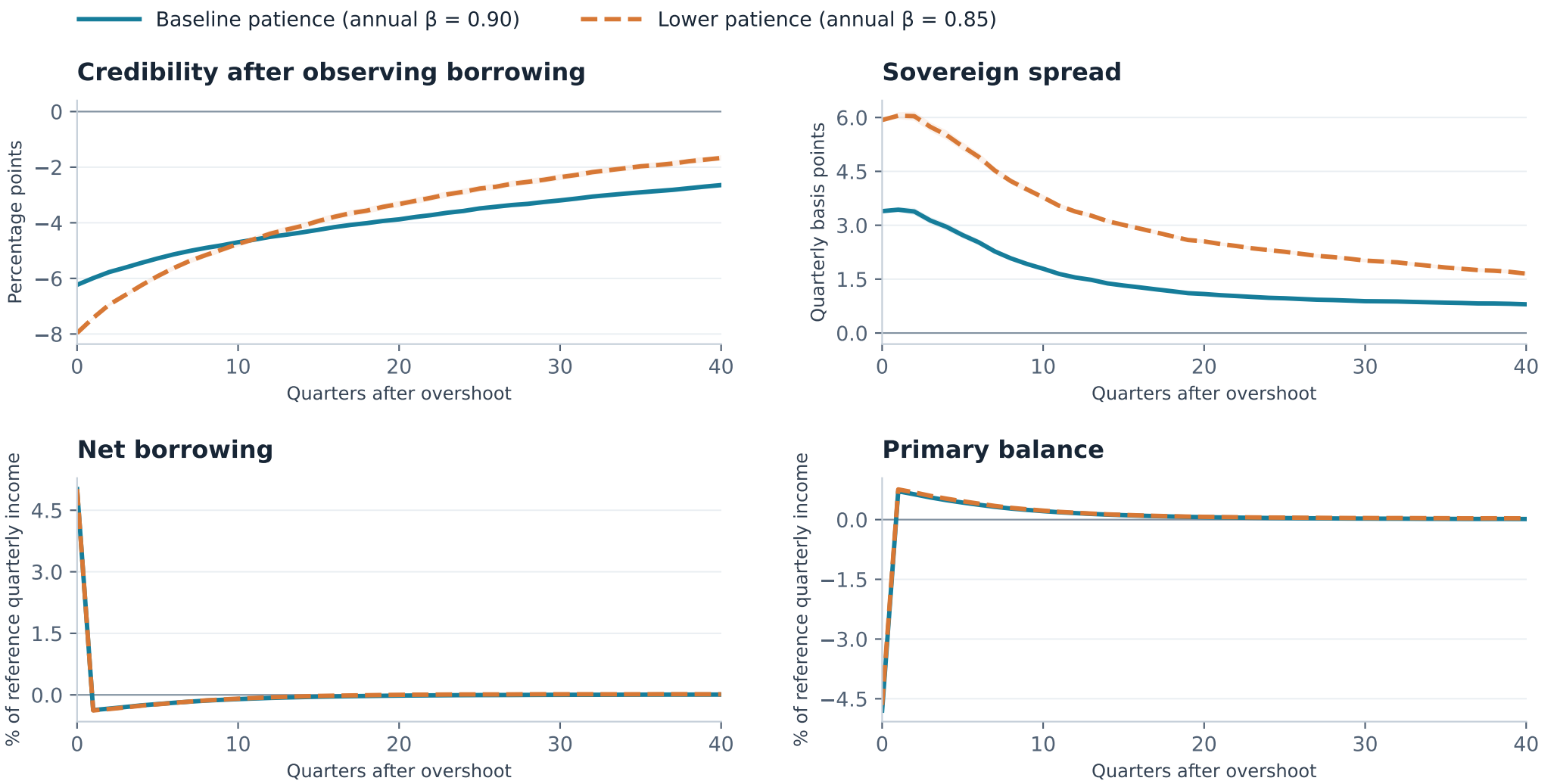
Model response to a one-time borrowing overshoot

Fiscal rule unchanged • Same future shocks • Responses relative to zero overshoot



Initial debt: 44.16% of annual income; prior credibility: 50%. Permanent strategic government.
Overshoot: +0.05 debt units (5.01% of quarterly income; 0.55 shock standard deviations).
2,000 paired paths. Shading: ±1.96 Monte Carlo standard errors; it excludes parameter uncertainty.